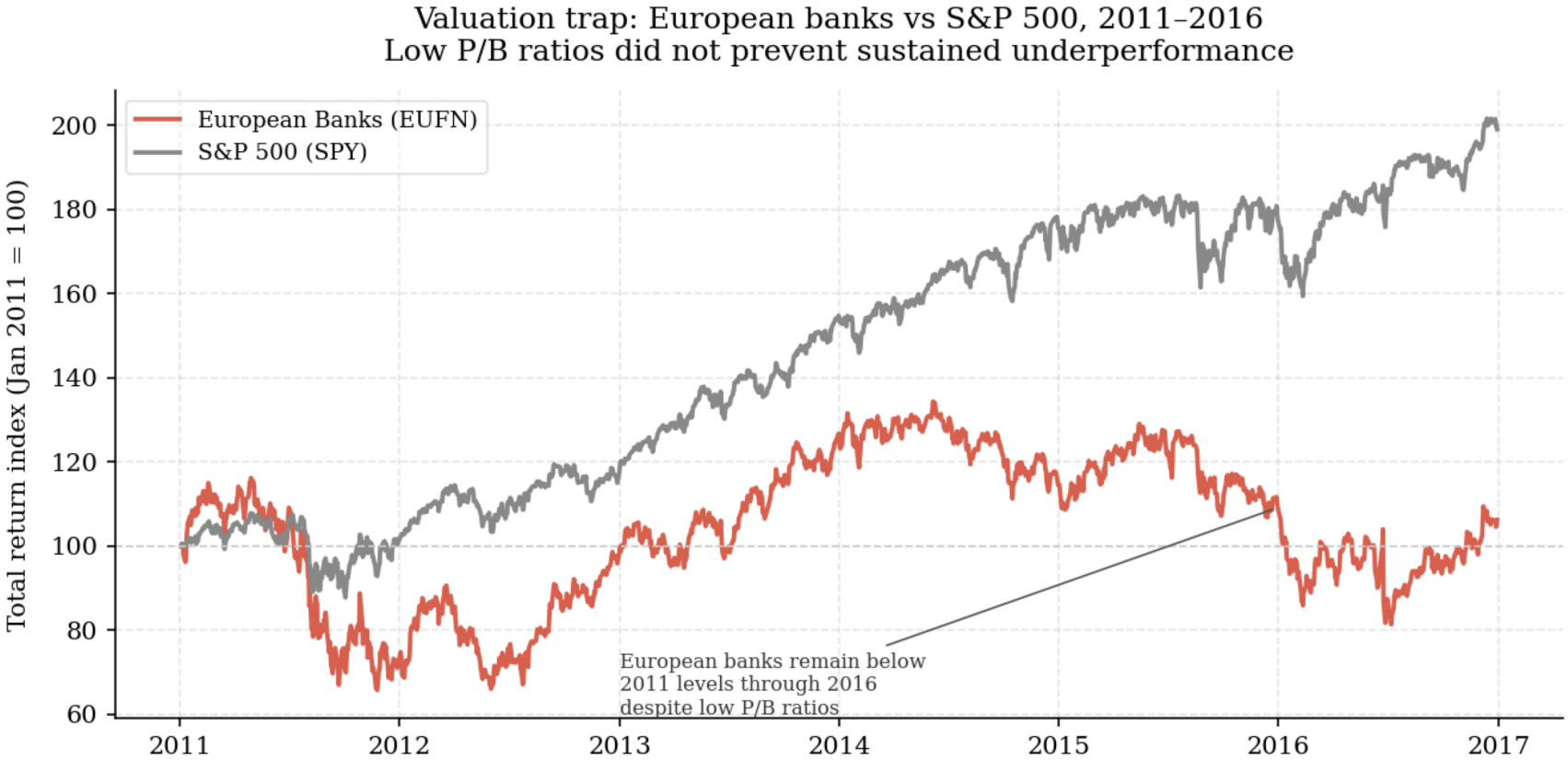
Valuation trap: European banks vs S&P 500, 2011–2016
Low P/B ratios did not prevent sustained underperformance
European Banks (EUFN)
S&P 500 (SPY)
Total return index (Jan 2011 = 100)
200
180
160
140
120
100
80
60
2011
2012
2013
2014
2015
2016
2017
European banks remain below
2011 levels through 2016
despite low P/B ratios